Absorbing Transition DID Results: Bad Historical Violation — Downgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.047**		0.005		0.056**
		(0.022)		(0.011)		(0.023)
× Voluntary Rotation		0.017*		-0.002		0.022***
		(0.009)		(0.005)		(0.008)
Pooled	0.029***		0.003		0.032***	
	(0.006)		(0.004)		(0.006)	
Mandatory − Voluntary		0.030		0.008		0.034
Difference p-value		0.214		0.524		0.158
Observations	30,608	27,919	30,608	27,919	30,608	27,919
Firms	4,909	4,749	4,909	4,749	4,909	4,749
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.034**		0.020**		0.043**
		(0.016)		(0.010)		(0.020)
× Voluntary Rotation		0.026**		0.002		0.032***
		(0.012)		(0.007)		(0.010)
Pooled	0.031***		0.005		0.037***	
	(0.010)		(0.006)		(0.009)	
Mandatory − Voluntary		0.008		0.019		0.010
Difference p-value		0.696		0.135		0.650
Observations	13,918	13,353	13,918	13,353	13,918	13,353
Firms	2,352	2,323	2,352	2,323	2,352	2,323
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.025*		0.000		0.035***
		(0.014)		(0.008)		(0.013)
× Voluntary Rotation		0.013**		0.000		0.016***
		(0.005)		(0.004)		(0.005)
Pooled	0.023***		0.001		0.028***	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		0.012		0.001		0.019
Difference p-value		0.415		0.929		0.166
Observations	39,170	36,350	39,170	36,350	39,170	36,350
Firms	5,244	5,165	5,244	5,165	5,244	5,165
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.028**		0.001		0.039***
		(0.013)		(0.008)		(0.013)
× Voluntary Rotation		0.011**		0.000		0.013***
		(0.005)		(0.004)		(0.004)
Pooled	0.023***		0.002		0.027***	
	(0.004)		(0.002)		(0.003)	
Mandatory − Voluntary		0.016		0.000		0.026*
Difference p-value		0.261		0.990		0.061
Observations	40,298	37,475	40,298	37,475	40,298	37,475
Firms	5,244	5,178	5,244	5,178	5,244	5,178
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.